



RALLYS EQUITIES PRIVATE LIMITED

Complaint Policies

COMPLAINT LODGING PROCESS

The SECP plays a facilitating role by taking up complaints with the respective insurers, policyholders, investors, and brokers. If you feel a need to make a complaint, this document explains how we process and deal with your grievance.

If investors have any complaints regarding their investment, the following information shall be useful in lodging the complaint. Please note that the information has been categorized in accordance with the type of investment:

- Brokerage House
- Insurance
- Mutual Fund/Pension Fund
- Leasing Company/Investment Bank
- SECP Service Desk for Online Complaint Registration

1. BROKERAGE HOUSE

In case of any issue with the brokerage house, broker, and/or agent, investors are advised to immediately lodge a complaint with their respective brokerage house. In case of non-resolution, the matter should be reported to the Exchange within 15 days of lodging the claim with the brokerage house/broker. Complaint Registration Forms are available on the respective websites of the Exchanges.

Please ensure that all claims are lodged in writing and that a receipt of the same has been obtained from the brokerage house/broker.

In case of a complaint against the Exchange and/or the broker/brokerage house, the Investor Complaints Wing at the Securities and Exchange Commission of Pakistan can be approached at the following details:

Address:

NIC Building, 63 Jinnah Avenue
Islamabad, Pakistan

Telephone: 051-9207091-4

UAN: 111 117 327

Fax: 051-9204915

Website: www.secp.gov.pk

Email: enquiries@secp.gov.pk

The Complaint Registration Form is available on the website of the Commission, i.e., www.secp.gov.pk. Investors having a complaint are required to complete the form with all necessary information and forward the duly signed Complaint Registration Form, along with all required documents, to the Commission's address listed at the end of the document.

The complaint shall be acknowledged immediately upon receipt. If you do not receive an acknowledgement within five working days of sending the complaint, you may ask the Investor Complaints Wing at the Commission for the status of the complaint. You shall be informed about the status of the complaint promptly.

CLIENT-BROKER RELATIONSHIP AND ARBITRATION PROCEDURE

The receipt of complaints enables KSE to identify trading violations that could affect investor confidence or fairness in the stock market. Using complaint information, PSX can identify weak areas in the relevant regulations or their compliance and make the necessary arrangements to address them.

1. How Does a Client Know Whether They Have a Case Against a Stock Exchange Member?

Losing money through dealing in securities is not, in itself, sufficient reason for a client to have a case against a Member. However, it is the responsibility of the Member to invest money according to the client's instructions.

A client may lodge a complaint against certain malpractices, including:

- i. Unauthorized Trading (Sale/Purchase)
 - ii. Unauthorized Transfer/Movement of Shares
 - iii. Non-supply of Statements of Account
 - iv. Non-supply of Trade Confirmations within 24 hours
 - v. Overcharged Commission
 - vi. Failure to Execute Investor's Instructions/Orders
 - vii. Suspension of Payment
 - viii. Non-delivery of Securities

2. What Are the Different Channels Through Which a Problem With a Stock Exchange Member Can Be Settled?

There are three possible recourses available to a client for filing a complaint. However, prior to taking any of these steps, it is strongly suggested that the complaint be taken up directly with the Member. This will not only save time but may also help preserve trust and confidence between the Member and the client.

i. PSX Arbitration Committee

The client has the option of bringing their complaint to the management of PSX. As a frontline regulator, PSX is empowered to take cognizance of complaints against Members under the approved Rules and Regulations.

After careful review of all documents provided by the parties, an Arbitration Award may be passed in accordance with the Rules and Regulations.

ii. SECP

The client may also lodge their complaint with the Vigilance Cell established at SECP to ensure that grievances and complaints of the general public are heard and redressed in a quick and efficient manner.

All complaints received by the Vigilance Cell against Stock Exchange Members are forwarded to the Investor Complaint Wing (“ICW”) of the Securities Market Division (“SMD”) for further processing.

However, SECP is not empowered to compel the Member to pay compensation or damages.

iii. Civil Court

The client may also file their complaint with the Civil Courts.

3. What Is Arbitration and Who Can Act as an Arbitrator?

Arbitration is an alternative dispute resolution mechanism provided by PSX for persons who do not wish to go to Court.

Through this method, disputes between trading Members, and between trading Members and their constituents, i.e., clients of trading Members, may be addressed and resolved in respect of trades conducted on the Exchange.

This process of resolving a dispute is comparatively faster than litigation.

The arbitrators comprise Members and management of the Exchange and non-member directors of the Exchange. For further details, please refer to Regulation 29 of the General Rules and Regulations of PSX Limited.

4. Who Can Avail the Facility of Arbitration on the Exchange?

The facility of arbitration on the Exchange can be availed by:

- i. Investors who have dealt on the Exchange through Members dealing in securities
- ii. Investors who have dealt on the Exchange through registered agents of Members dealing in securities
- iii. Trading Members who have a claim, dispute, or difference with another trading Member or a constituent

5. What Is the Period for Filing an Application for Arbitration in the Event of a Claim, Difference, or Dispute?

An application for arbitration must be filed within three months from the date of the dispute.

For further details, please refer to Regulation 34 of the General Rules and Regulations of PSX Limited.

6. What Is the Process for Filing an Application for Arbitration With PSX?

The procedure for arbitration is as follows:

i. Submission of Application

The client may file an application for arbitration with PSX.

ii. Supporting Documents

Copies of the following documents may be submitted along with the application to support the claim:

- a. Copy of NIC, or in the case of a company, the NIC of the authorized representative
- b. Account Opening Form of the complainant
- c. CDC Sub-Account Opening Form/Individual Investor Account
- d. Relevant Share Deposit Receipts
- e. Relevant Trade Confirmation Slips/Sale-Purchase Bills
- f. Relevant Cash Receipts and Payments Made
- g. Relevant CDC Reports and Statements
- h. Any other document signed by the complainant or Member during the course of business
- i. An undertaking to abide by the Rules and Regulations of the Exchange

iii. Appointment of Arbitrator

The Exchange shall appoint the arbitrator or arbitrators.

Claims of up to PKR 0.5 million shall be referred for arbitration to the Managing Director of the Exchange, who may either enter upon the reference personally or appoint a nominee for this purpose.

Claims or disputes exceeding PKR 0.5 million shall be referred to the Advisory and Arbitration Committee for resolution and decision.

iv. Hearing and Award

The arbitrator shall communicate the date of hearing to the parties and provide them with an opportunity to present their respective cases.

After hearing both sides, the arbitrator shall issue an Award accordingly.

v. Appeal Against the Award

According to the PSX General Rules and Regulations:

- a. Any party dissatisfied with an Award issued by the Managing Director or the appointed nominee may file an appeal before the Advisory and Arbitration Committee within seven days of receiving the Award.
- b. Any party dissatisfied with an Award issued by the Panel of Arbitrators may file an appeal before the Board within seven days of receiving the Award.

7. How Is an Award Made by the Sole Arbitrator or Panel of Arbitrators?

If both parties to the dispute are present at the appointed time and place, the arbitrator may hear the reference and announce the Award.

If the party against whom the complaint has been made is not present, the arbitrator or arbitrators may hear and decide the dispute ex parte.

All claims referred to panels of arbitrators shall be resolved by a majority decision.